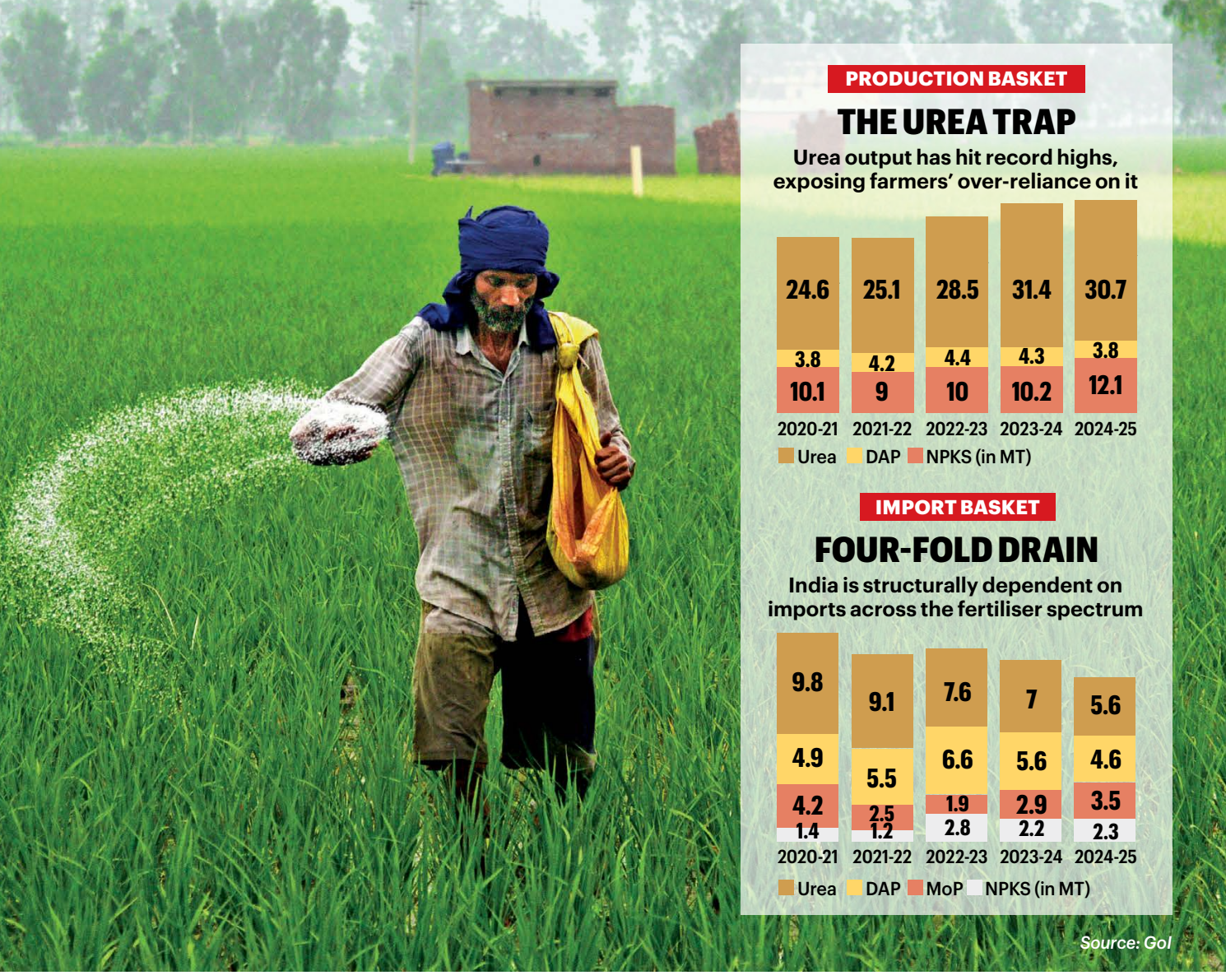


PRODUCTION BASKET

THE UREA TRAP

Urea output has hit record highs, exposing farmers' over-reliance on it

IMPORT BASKET

FOUR-FOLD DRAIN

India is structurally dependent on imports across the fertiliser spectrum

Source: GoI

often, these two goals collide, as they are doing now.

The real danger, as the ongoing crisis has cruelly demonstrated, is that India has outsourced price stability in critical farm commodities to unstable global markets. The war in Ukraine raised sunflower oil and fertiliser prices. The Iran war and the conflict in the Gulf saw LNG (liquefied natural gas), freight and urea costs shoot up.

AT THE VILLAGE COUNTER, THE PRICE OF UREA HAS NOT MOVED A RUPEE: A 45-KG BAG STILL COSTS Rs 242, THE STATE ABSORBING OVER 90 PER CENT OF ITS TRUE COST OF Rs 2,420

The Fertiliser Conundrum

Fertiliser is the most direct link between global geopolitics and Indian farm economics and it's proving extremely costly for the country. Fertilisers are also the hidden engine of India's food security: every crop harvest removes nutrients from the soil; fertilisers put them back. But crops require a balanced diet of nutrients: nitrogen from urea for quick leaf growth and biomass, phosphorus from Diammonium Phosphate (DAP) for the roots, potassium from Muriate of Potash (MoP) to strengthen the crop for climate resilience, for example, enabling it to withstand water stress and improve grain development and yield. The combo called NPKS (Nitrogen, Phosphorous, Potassium and Sulphur) offers a more balanced mix. These are complementary, not alternatives, but price distortions severely skew usage. Farmers prefer to douse their fields with cheaper urea, which is why it accounts for 56 per cent of India's fertiliser use, followed by NPKS at around 23 per cent, DAP at 17 per cent and MoP at around 4 per cent.

The economic cost of producing and procuring fertilisers is enormous. In 2024-25, India's requirement for the four main fertilisers was 64 million tonnes (MT), up from 62 MT in the previous year. Domestic production added up to 46.5 MT, meeting only 70 per cent of the demand, forcing the country to import nearly 16 MT at a cost of $10.23 billion (Rs 86,500 crore). That dependence has now been exposed brutally by the war in West Asia. More than 60 per cent of India's urea imports, nearly 80 per cent of its ammonia and sulphur (feedstock for